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Software Snippets | Europe

Increasing Signs of Token Budgeting?

Important events in the world of Software & Services in the week ahead, and key MS research / stories from the past week.

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TECHNOLOGY - SOFTWARE & SERVICES

Europe

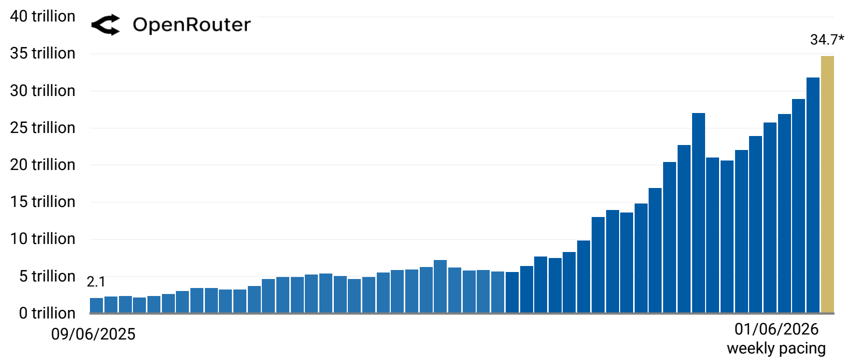
Industry View **In-Line**

Key Takeaways

- Uber and Walmart join the list of firms citing token budget restrictions - does it matter? (#Software)
- SAP: A New Lens on Cloud Growth (*MS Research*, #SAP)
- Microsoft expands the agentic AI layer with an NVIDIA-powered PC (*MS Research*, #Software)
- RELX & Thomson Reuters: Takeaways from Expert Call on Legal AI (*MS Research*, #RELX)
- Spanish private software company Factorial raises funds at a $2.5 billion valuation (#Software)

1) Uber and Walmart join the list of firms citing token budget restrictions - does it matter? (*#Software*)**:** Corporates have increasingly deployed AI into their ecosystems, and in the early '*AI experimentation*' and roll-out phase, we suspect there has been a degree of usage without a sharp focus on token budgeting. With ramping AI token spend, we think that discussion is evolving to also include spend efficiency and budgeting - important given IT budget growth is relatively modest at c. +3.7% y/y (where we think AI spend is still largely being sourced from). In recent weeks we note a number of press reports citing corporates introducing budget restrictions related to AI token consumption; this week Uber and Walmart joined the list. Bloomberg reports that Uber is (as standard) limiting all employees to $1,500 per month per AI coding tool. This comes after Uber's CTO earlier in 2026 indicated that the firm had spent its entire 2026 AI coding tool budget in just four months. Bloomberg also reported that Walmart has capped usage on its internal AI tool amid high usage. The ROI on GenAI tools remains a complex discussion that is hard to get precise numbers around, and while these types of reports may re-raise those questions, we would see rapid consumption of tokens as tech validation, and these press reports somewhat as 'noise' in the mix. That said, the trend for corporates to better understand their token spend will likely continue through 2H26, and this may at some stage involve into a discussion whereby corporates evaluate spend allocations around tokens more directly against spend allocation for incremental employee hires. For now, the more important big picture is that token consumption continues scaling extremely rapidly - as a proxy, data from OpenRouter, a platform that routes AI app traffic across many large language models and providers, shows an expected 34.7 trillion tokens consumed run-rate for this week, up from just 2.1 trillion in early June 2025.

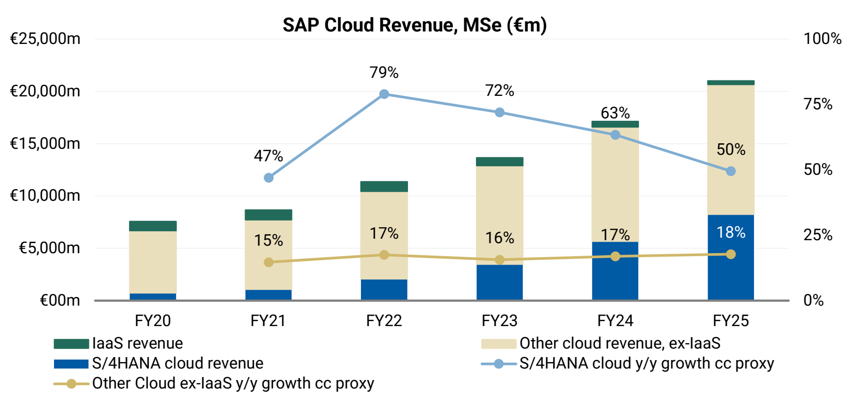
Exhibit 1: OpenRouter-observed token consumption for last week is running well over 15x higher y/y



NB: Uber Technologies is covered by Brian Nowak, Walmart is covered by Simeon Gutman. Data as of 05/06/26 8am UKT. *Weekly pacing, per OpenRouter disclosure. Source: OpenRouter.ai, Morgan Stanley research

2) SAP: A New Lens on Cloud Growth (*MS Research*, #SAP): Migrating on-premise customers to S/4HANA, SAP's flagship cloud ERP product, is the core engine of SAP's cloud growth story. While the licence phase of the transition is largely complete, SAP remains relatively early in converting its €10.5bn maintenance support base to cloud subscriptions, with migrations typically carrying a 2x+ revenue uplift. Recent softness in current cloud backlog (SAP's cloud revenue leading indicator) has raised questions over whether the cloud migration story is maturing, while AI/data monetisation is still not yet visible enough to drive the thesis, which we think has weighed on sentiment. To address these concerns, we use new SAP disclosures to help unpack recent cloud growth, with our analysis pointing to three key conclusions: **1)** FY25 appears to mark an inflection in the cloud conversion story - with the rate of migration tripling vs. the prior 4 year run-rate. **2)** The remaining conversion runway is substantial - we think we are only 20-25% penetrated into the opportunity. **3)** Our estimated S/4HANA cloud revenue series suggests the core ERP transition is scaling, but with strength in breadth across the entire Cloud portfolio (Exhibit 2). With the conversion opportunity still meaningfully under-penetrated, we see a solid runway for sustained cloud growth over the next five years, supporting current valuation levels. **See our full note here.**

Exhibit 2: We estimate S/4HANA cloud revenue grew ~50% y/y in cc despite running at major scale (we think ~€8.3bn as of FY25)



Source: Company data, Morgan Stanley Research estimates. Note: cc growth rates are approximated using stated cloud revenue growth implied FX headwind (i.e. assuming the FX impact is uniform across both S/4HANA cloud and non-S/4HANA cloud ex-IaaS). All figures presented excluding Qualtrics. S/4HANA cloud revenue is reported in FY20, FY21, FY22, and FY23; and estimated in FY24 and FY25.

3) Microsoft expands the agentic AI layer with an NVIDIA-powered PC (*MS Research*, *#Software*): Together with NVIDIA (covered by Joseph Moore), Microsoft (covered by Josh Baer) unveiled a new class of Windows PCs powered by NVIDIA's RTX Spark platform. The announcement is an example of a future leg to Agentic AI, where agents sit on the device (a PC in this instance) - allowing personal agents to be faster and always available. Josh notes that it represents "*...the first full-scale Windows systems built around an NVIDIA-designed processor architecture.*" "*Microsoft has emphasized that Windows is evolving beyond traditional application-centric computing toward an agent-driven experience where users increasingly interact through natural language and AI workflows rather than launching individual software applications.*" Josh also noted, "*Strategically, RTX Spark represents another step in Microsoft's effort to extend AI inference from the cloud toward the edge while simultaneously strengthening the competitiveness of Windows.*" **See the full note on the announcement here.**

4) RELX & Thomson Reuters: Takeaways from Expert Call on Legal AI (*MS Research*, *#RELX*): This week our US Information Services colleague Toni Kaplan hosted a call with a Chief Innovation Officer at a US law firm; the expert talked to how the tool landscape and use cases around Legal AI are developing. Several key takeaways are shared below. **See the full note here.**

- The expert's firm prefers Harvey for generic AI use cases and Westlaw (TRI)/ Lexis (RELX) for legal research. The expert noted 82% weekly usage of Harvey within its attorneys and credited its appeal to its strengths with interface, simplicity, and familiarity. Westlaw and Lexis remain the preferred platforms for complex legal research due to their long-standing integration with the legal system, which provides greater confidence and credibility than general-purpose AI tools.
- While Harvey's access to primary law may be sufficient for many use cases and can get users much of the way to an answer, it lacks the sophisticated legal infrastructure that providers like Westlaw and Lexis have built over more than a century. The expert believes that one of the most difficult challenges for AI is accurately understanding legal precedent relationships, such as whether cases have been followed, distinguished, or overruled, given the complexity of those determinations. Even established citator systems sometimes disagree on these issues.
- The expert estimated that if Harvey, Westlaw, and Lexis were used for the same query, Harvey's output would be good enough or better ~50% of the time. The expert worries this may give attorneys a false impression that Harvey functions like a legal research tool with an extensive legal corpus, because its answers can often appear comparable to those from Westlaw or Lexis, while actually filling in gaps rather than relying on underlying case content.

5) Spanish private software company Factorial raises funds at a $2.5 billion valuation (*#Software*): The $150m raise this month is a Series D round at a $2.5 billion valuation, 2.5x their Series C round at $1 billion in 2022. Factorial says it now serves more than 16,000 businesses, and the company announced it had reached $100m in ARR in September 2025. Headquartered in Spain, Factorial offers a unified

HR and business management platform designed to automate key people operations for small and medium-sized organizations. It centralizes tasks such as time tracking, absence and leave management, payroll preparation, performance reviews, document handling, expense management, and recruitment in a single system. In a broad software sub-market sense, Factorial plays in a similar arena to private companies such as Personio, BambooHR, and Rippling. Sage is also adjacent through Sage HR/payroll products, though this is a smaller part of Sage's broader accounting/finance software mix.

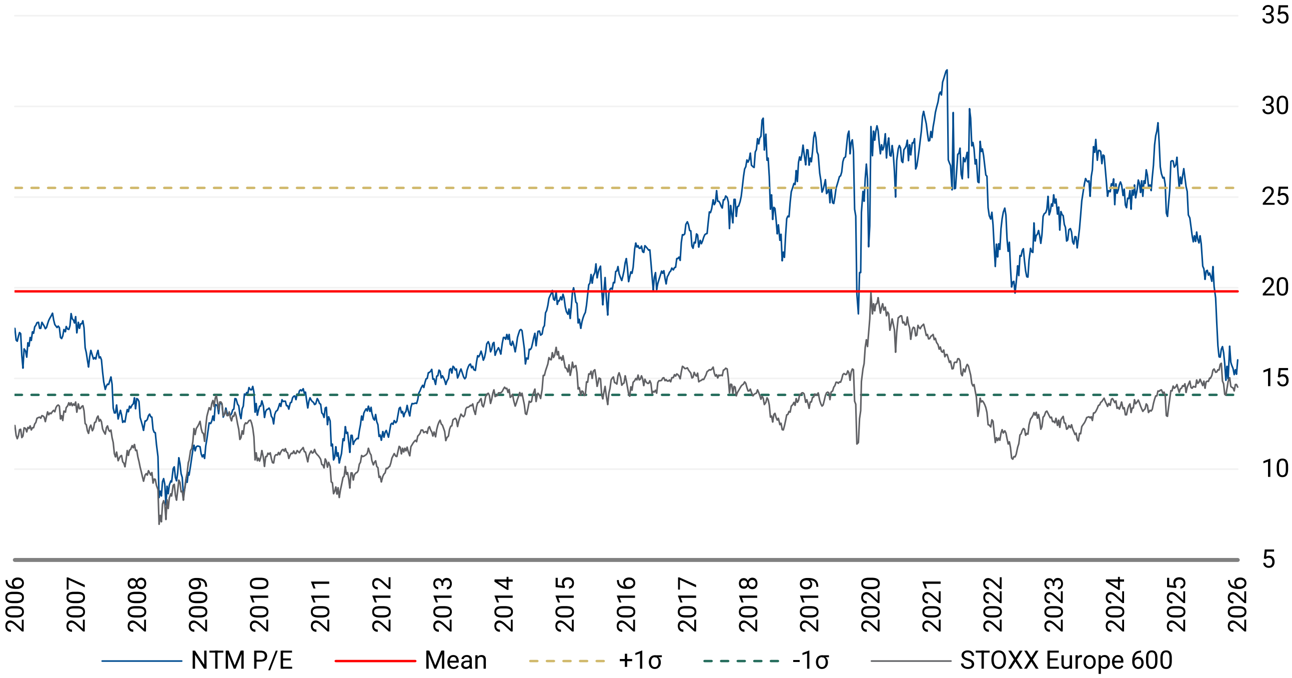
Exhibit 3: Key week ahead events

Monday 08/06/2026	Tuesday 09/06/2026	Wednesday 10/06/2026	Thursday 11/06/2026	Friday 12/06/2026
London Tech Week	London Tech Week	London Tech Week	Adobe 2Q26 Results	
		Oracle 4Q26 Results		
Key	MS Europe Coverage	Other Global Stocks	Industry Event	Other

Source: Morgan Stanley Research

Coverage Valuation vs. European Market

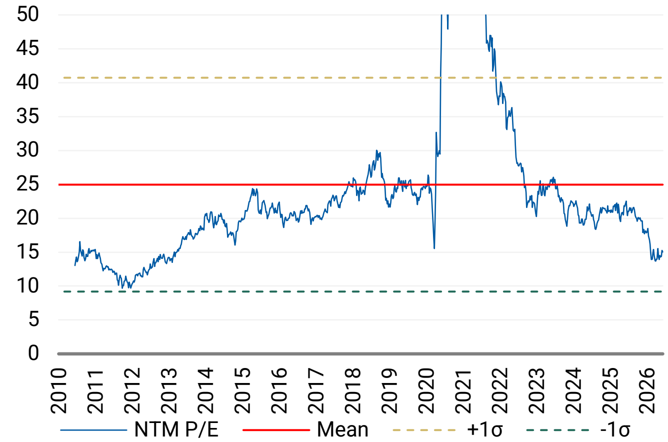
Exhibit 4: European Software NTM P/E vs STOXX Europe 600



NB: Mean of CAP, DSY, INF, NEM, REL, SGE, SAP, TEMN, TIETO, and WKL. Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

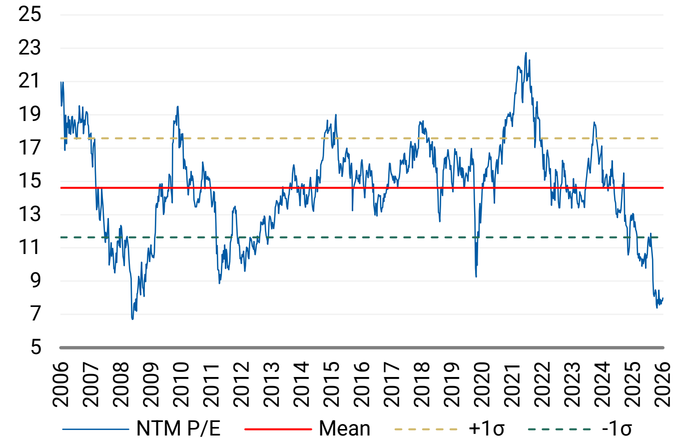
Long-Term Valuation Charts

Exhibit 5: Amadeus P/NTM Earnings



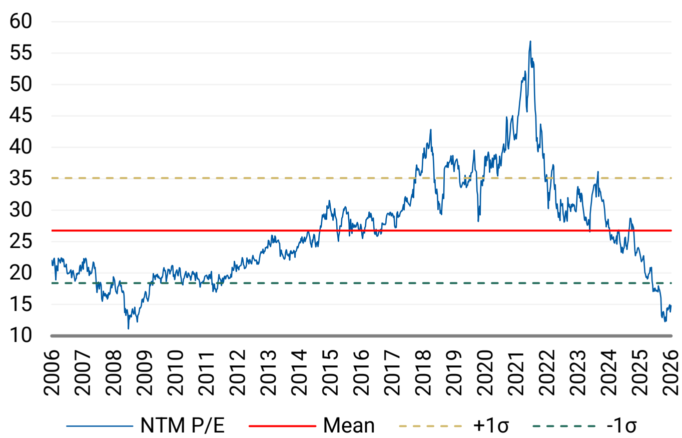
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 6: Capgemini P/NTM Earnings



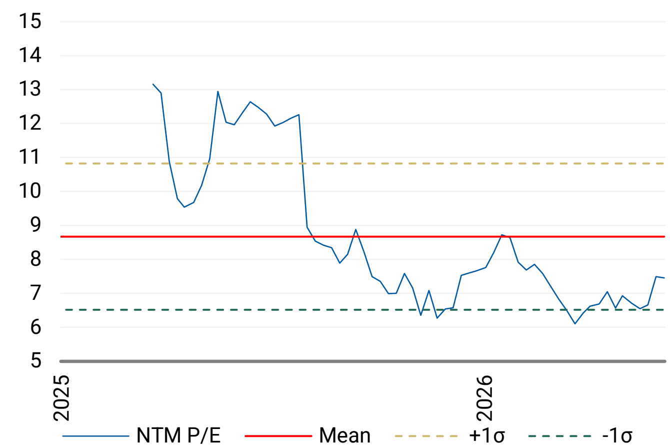
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 7: Dassault Systemes P/NTM Earnings



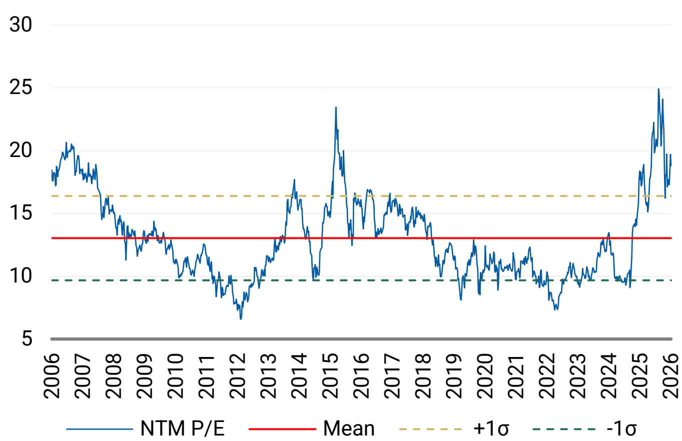
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 8: HBX P/NTM Earnings



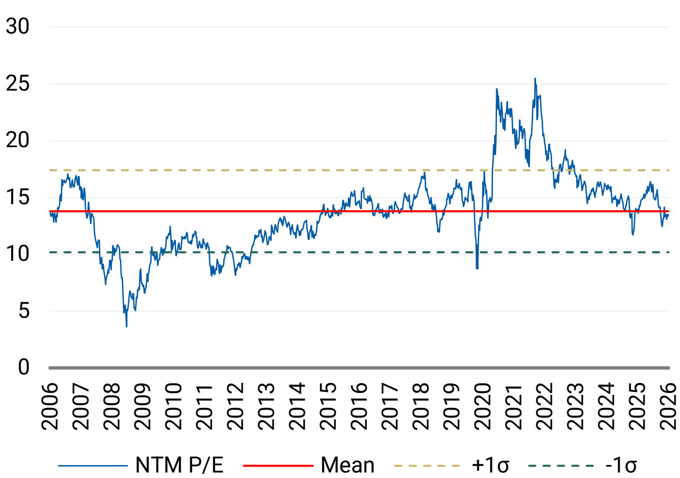
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 9: Indra P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 10: Informa P/NTM Earnings

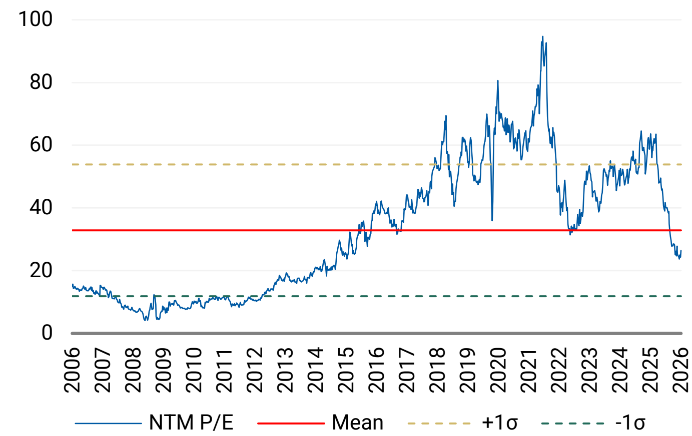


NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 11: IONOS P/NTM Earnings

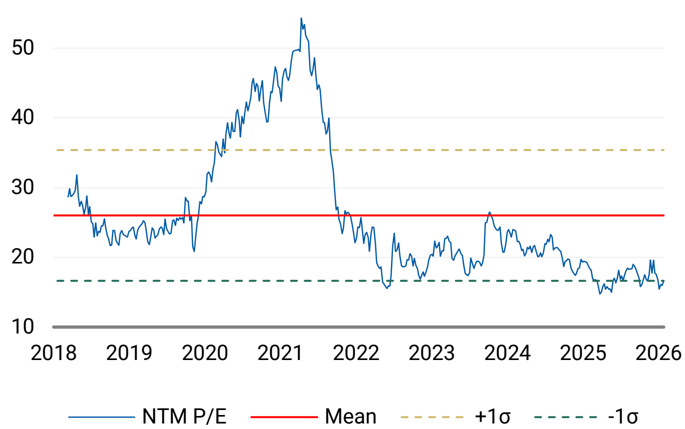
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 12: Nemetschek Group P/NTM Earnings



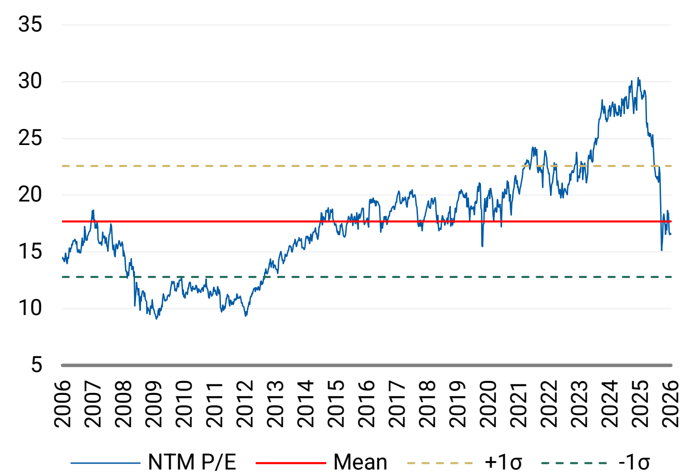
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 13: Netcompany P/NTM Earnings



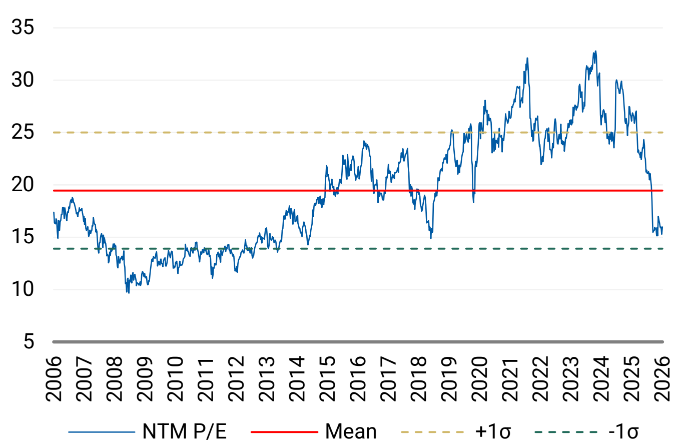
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 14: RELX P/NTM Earnings



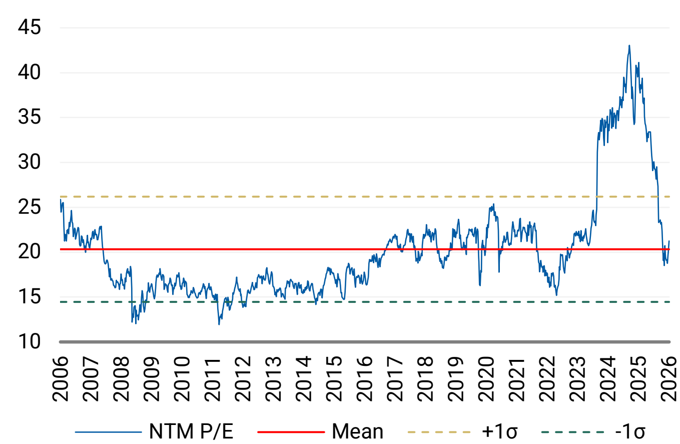
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 15: Sage Group P/NTM Earnings



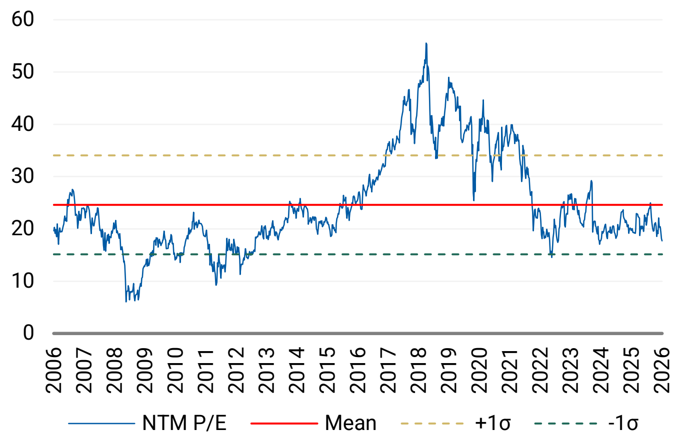
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 16: SAP P/NTM Earnings



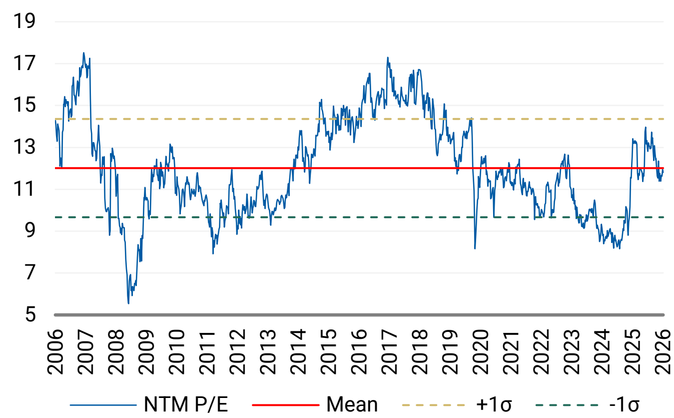
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 17: Temenos P/NTM Earnings



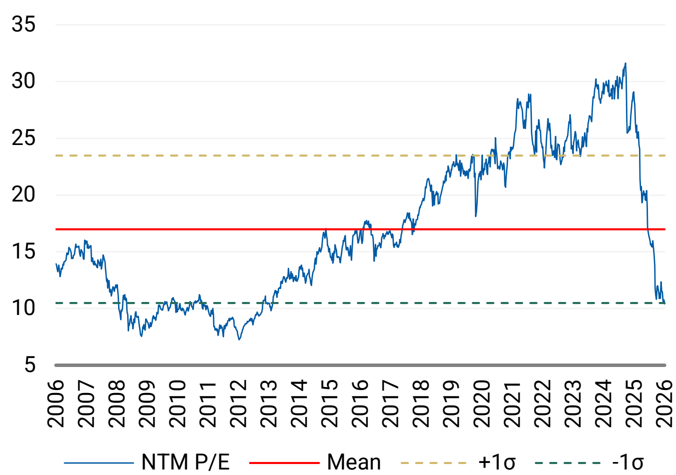
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 18: Tieto P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 19: Wolters Kluwer P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Coverage Company Guidance

Exhibit 20: Company Forward Guidance (1/2)

	Published Company Guidance / Targets	
	FY26	**Mid-term / Long-term**
Amadeus	High single digit revenue growth (in cc) Adj. EBIT margin stable at cc (FY25: 29.1%) Adj. diluted EPS growth at low double-digit FCF between €1.35-1.45 billion	**Over 2026-2028:** High single digit annual revenue growth (in cc) Adj. EBIT margin expansion over the period Adj. diluted EPS growth CAGR at low double-digit FCF growth CAGR at high single digit
Capgemini	Revenue growth of +6.5 to 8.5% cc (organic c. 1.5 to 4%, MSe) Operating margin of 13.6% to 13.8% Organic FCF of €1.8 to 1.9bn	**2028 financial ambitions:** 2025-28 revenue CAGR at cc of +5.5-7.5% (c. +3.5-5.5% organic) Operating Profit pre-acquisition expense to reach 12.1-12.3% of revenue (c. 130-150bps expansion vs 2025) Cumulative organic FCF >€6bn over 2026-28
Dassault Systemes	Total revenue growth between 3 to 5% (cc) Software revenue growth 3 to 5% (cc) Services revenue growth of 2 to 6% (cc) Adj. EBIT margin guidance is 32.2 to 32.6% EPS €1.30 to 1.34	Basic 2029 EPS of €2.4
HBX Group	12-18% YoY growth in TTV 2-7% YoY revenue growth 2-7% adj. EBITDA growth c. 100% operating FCF conversion	Low-double digit TTV annual growth High-single digit revenue growth Low sixties adj. EBITDA margin % c. 100% cash conversion
Indra Sistemas	Revenue >€7,000m in local currency Stated EBIT of > €700m Free cash flow of >€375m	**Long-term (FY24-FY30):** Revenues to reach €6bn in FY26 and €10bn in FY30 EBITDA margins >12% by FY26 and >14% by FY30 EBIT margin at 10% in FY26 and 12% in FY30 Cumulative FCF of >€3bn from FY24-FY30
Informa	6%± underlying revenue growth 7%+ B2B Events underlying revenue growth 4%± Taylor & Francis underlying revenue growth Return to revenue growth for TechTarget	5%+ underlying revenue growth p.a. out to FY28
IONOS Group	Group: c. 7% revenue growth with c. 37-38% adj. EBITDA margin (CC) Web Presence & Productivity: 7-8% revenue growth (CC) Cloud Solutions: c. 10% revenue growth (CC)	Total revenue growth (CAGR) c. 10% Web Presence & Productivity revenue growth (CAGR) c. 9% Cloud Solutions revenue growth (CAGR) c. 20% Adj. EBITDA margin c. 40% Capex (% of revenue) c. 6%
Nemetschek Group	14-15% constant currency revenue growth 32-33% adj. EBITDA margin	*None*
Netcompany Group	Group revenue growth of 15-20% y/y (in CC), 5-10% excluding NBS Adj. EBITDA margin of 16-19%, 17-20% excluding NBS	**Long-term:** Annual organic revenue growth of 5-10% *"through any business cycle"* Adj. EBITDA margins >20% by (in) FY29
RELX	*"We continue to see positive momentum across the group, and we expect another year of strong underlying growth in revenue and adjusted operating profit, as well as strong growth in adjusted earnings per share on a constant currency basis".* Buybacks of £2,250m	*None*

Source: Company data, compiled by Morgan Stanley Research

Exhibit 21: Company Forward Guidance (2/2)

	Published Company Guidance / Targets	
	FY26	**Mid-term / Long-term**
Sage Group	Organic total revenue growth in FY26 to be above 9% Operating margins are expected to trend upwards in FY26 and beyond	*None*
SAP	Cloud revenue of €25.8-26.2bn at cc (23% to 25% cc growth). Cloud and software revenue of €36.3-36.8bn at cc (12%-13% cc growth). Non-IFRS EBIT of €11.9-12.3bn (14-18% cc growth). Free cash flow c. €10bn	Expect total revenue growth to accelerate in 2027. Total operating expenses are expected to grow at 80 to 90% of total revenue growth in 2027.
Temenos	ARR growth of c. 12% Subscription and SaaS growth of c. 9% EBIT growth c. 9% FCF growth c. 16% (reported)	**Mid-term (FY28):** ARR to reach more than >$1.23bn Non-IFRS EBIT of at least c.$480m FCF of at least $410m
Tieto	Organic growth of -2% to 0% and adj. EBITA margins of 14.8 to 15.8%	Annual revenue growth of over 5% CAGR in 2027-2028 Expect 2026 to be broadly flat to slightly negative on topline EBITA margins of over 16% by 2028
Wolters Kluwer	Good organic revenue growth Adj. EBIT margin: c. 28% Diluted adj. EPS growth (%, cc): High single digit growth Adj. FCF (EURm, cc): €1,300m to €1,350m	*None*

Source: Company data, compiled by Morgan Stanley Research

Appendix: MS European Software & Services Coverage

Exhibit 22: Coverage Summary

Company	Analyst	Rating	Price Target
Amadeus	George Webb	Overweight	EUR 65
Capgemini	George Webb	Equal-weight	EUR 117
Dassault Systemes	George Webb	Equal-weight	EUR 21.75
HBX Group International	Mark Hyatt	Equal-weight	EUR 7.9
Hexagon AB	George Webb	N/A	N/A
Indra Sistemas	Adam Wood	Equal-weight	EUR 60
Informa	George Webb	Overweight	GBp 990
IONOS Group	George Webb	Equal-weight	EUR 29.4
Nemetschek Group	George Webb	Equal-weight	EUR 74.25
Netcompany	George Webb	Underweight	DKK 334
RELX	George Webb	Equal-weight	GBp 2970
Sage Group	George Webb	Overweight	GBp 1110
SAP	Adam Wood	Overweight	EUR 190
Temenos	Mark Hyatt	Underweight	CHF 59
Tieto	Mark Hyatt	Underweight	EUR 18
Wolters Kluwer	George Webb	Equal-weight	EUR 80.5

Software & Services

Source: Morgan Stanley Research

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(as of May 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Technology - Software & Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/04/2026)
Adam Wood		
Indra (IDR.MC)	E (01/12/2026)	€54.40
SAP SE (SAP.N)	O (02/20/2026)	US$187.14
SAP SE (SAPG.DE)	O (03/20/2020)	€164.50
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€54.00
Capgemini (CAPP.PA)	E (02/19/2026)	€104.20
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€20.16
Hexagon AB (HEXAb.ST)		SKr 87.32
IONOS Group SE (IOSn.DE)	E (05/12/2025)	€30.16
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€67.45
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 357.00
Sage (SGE.L)	O (12/08/2021)	883p
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.11
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 71.45
Tietoevry Oyj (TIETO.HE)	U (01/12/2026)	€21.10

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